

## **Investor FAQs**

### **1. Why did the company file for Chapter 11 protection?**

- The company voluntarily filed petitions under Chapter 11 for the majority of its U.S. entities in the United States Bankruptcy Court for the Eastern District of Missouri<sup>1</sup> on April 13 in a major step to strengthen liquidity and reduce debt amid an unprecedented industry downturn.
- Chapter 11 provides the opportunity for Peabody to reduce its overall debt, lower fixed charges, improve operating cash flow and position the company for long-term success, while continuing to operate in the ordinary course under the protection of the court process.
- No Australian entities are included in the filings, and our Australian operations are continuing as usual.

### **2. How long will the process take?**

- The company intends to move through the process in a timely fashion, and we have obtained financing for up to 18 months.
- This decision was not easy, but we believe it is the right path for Peabody.
- After years of significant demand increases and growth initiatives by Peabody, industry fundamentals have sharply deteriorated in recent years.
- Since 2012, approximately 50 U.S. coal companies have filed for bankruptcy, and the oil and gas industry is also suffering.

### **3. Is the case progressing as expected?**

- Overall, Peabody is on track in the Chapter 11 protection process, and we are encouraged by the progress the company is making and the continued support we are receiving from our stakeholders.
- Early on, we received court approval on various motions, which included \$800 million in debtor-in-possession financing, providing access to capital for up to 18 months as well as uninterrupted employee wages, long-term employee compensation programs, and post-petition vendor payments, among many other routine items.
- We have reached agreements with four states regarding additional financial assurances for coal mine land reclamation, which is an essential part of the coal mining process. We look forward to ongoing discussions with the states and other parties regarding our reclamation obligations long term.
- The company also has filed its business plan, a key milestone of our debtor-in-possession financing, which recognizes challenges and opportunities related to the company and industry and is anticipated to form the basis of the plan of reorganization.

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<sup>1</sup> Including the following international entity: Peabody Holdings (Gibraltar) LTD.

#### **4. What is included in the business plan?**

- As part of the business plan, the company detailed its current position, operational highlights, key drivers of future value creation, financial overview and anticipated future state.
- The business plan offers a view of the company and industry over a five-year period and is based on assumptions that are subject to uncertainties and business risks that may cause actual results to differ from expectations. The plan is available on [PeabodyEnergy.com](http://PeabodyEnergy.com).

#### **5. What happens next?**

- The company will continue to progress through the Chapter 11 process as matters essential to a plan of reorganization are discussed with creditors in coming months.
- We expect to have court dates on a monthly basis and will continue to routinely communicate with stakeholders through this process as we position the company to emerge and succeed.

#### **6. Will the company's management remain in place?**

- Yes. The company is led by a CEO and CFO who, while being veterans of the industry, have just completed their first full year in their new positions.
- The company's executive leadership is entirely new since 2012. The team represents an impressive blend of veteran leadership and fresh perspectives gleaned from varied experiences in mining, steel and energy.
- Peabody also has a new Chairman of the Board as of Jan. 1, 2016.

#### **7. What is the outlook for coal?**

- Coal currently fuels 40 percent of global electricity and is expected to be an essential source of global electricity generation and steel making for many decades to come.
- Our portfolio is shaped around several core regions – the Powder River and Illinois basins and Australia – with key competitive advantages:
  - The low-cost Powder River and Illinois basins are the most competitively positioned in the U.S. (relative to natural gas and other regions).
  - The company's Australian thermal and metallurgical coal platform has excellent access to higher-demand Asia.
- In short, coal will remain an essential part of the energy mix and Peabody is here to stay.

#### **8. Will you be looking to sell assets through this Chapter 11 process?**

- Chapter 11 provides us with the opportunity to reduce our overall debt level, lower fixed charges, improve operating cash flow and position the company for long-term success, while continuing to operate in the ordinary course under the protection of the court process. We also intend to build upon the significant operational achievements we've made in recent years.
- The company will continue to evaluate opportunities to reshape its platform to best compete in key regions by targeting the sale of non-core assets.
- Our filter for evaluating divestitures includes factors such as strategic fit, value consideration, growth potential and cash flow requirements.

**9. Is the company issuing quarterly financial results? Holding quarterly conference calls?**

- Peabody is not holding quarterly earnings conference calls. In addition to planned SEC filings, the company is filing monthly operating reports with the bankruptcy court. You may find these reports on [PeabodyEnergy.com](http://PeabodyEnergy.com).

**10. What does the Chapter 11 process mean for my equity in Peabody?**

- It is uncertain at this stage of our Chapter 11 Cases if any proposed plan of reorganization would allow for distributions with respect to our equity or other securities, although it is likely that our equity securities will be cancelled and extinguished upon confirmation of a plan of reorganization by the bankruptcy court, and that the holders thereof would not be entitled to receive, and would not receive or retain, any property or interest in property on account of such equity interests.

**11. Does the company plan to re-list as a publicly traded company upon emergence?**

- At this time, no decisions have been made on whether to re-list as a public company upon emergence.

**12. What does the Chapter 11 process mean for my bonds?**

- The reorganization plan that is approved by the Court will ultimately determine what recovery will be available for creditors, including the bondholders. At this early stage in the process, we do not know what the outcome might be. Information will be communicated to bondholders as the process continues.

**13. Will bondholders receive interest payments going forward?**

- Like principal payments, interest payments currently due or that accrue and become due during Chapter 11 are frozen and will be addressed in our plan of reorganization.

**14. Where can I get additional information if I have more questions?**

- Additional information about the Chapter 11 process can be found through the “Chapter 11 Protection” tab on the company’s website at [PeabodyEnergy.com](http://PeabodyEnergy.com). You may also call our toll-free Chapter 11 information line at 866-967-1783 or, if calling from outside the United States or Canada, at 310-751-2683.